ELECTRICAL SUBCONTRACT AGREEMENT

This Electrical Subcontract Agreement (the "Subcontract") is made and entered into as of February 2, 2026 (the "Effective Date"), by and between **Mesa Verde Contractors, Inc.**, a Nevada corporation with its principal office at 2275 Glendale Industrial Way, Reno, Nevada 89502, Nevada State Contractors' Board License No. 0071548, Classification A/B ("Contractor"), and **Lumen Electric Corp.**, a Nevada corporation with its principal office at 9140 Double Diamond Crossing, Suite 210, Reno, Nevada 89521, Nevada State Contractors' Board License No. 0083916, Classification C-2 ("Subcontractor").

Contractor has entered into a prime contract dated December 8, 2025 (the "Prime Contract") with **Washoe County School District** ("Owner") for construction of the **Sparks Middle School Gymnasium Addition**, located in Reno, Washoe County, Nevada (the "Project"). Contractor wishes to engage Subcontractor to perform the electrical work for the Project, and Subcontractor wishes to perform that work, on the terms stated in this Subcontract.

In consideration of the mutual promises in this Subcontract, Contractor and Subcontractor agree as follows.

ARTICLE 1 — DEFINITIONS

1.1 "Subcontract Work" means all labor, supervision, materials, equipment, tools, testing, permits, and services required by the Subcontract Documents for the electrical scope described in Article 3, together with all work reasonably inferable from them as necessary to produce a complete and functioning installation.

1.2 "Subcontract Documents" means this Subcontract, the Prime Contract to the extent it applies to the Subcontract Work, the drawings and specifications listed in Article 2, all addenda issued before the Effective Date, and all Change Orders issued after the Effective Date.

1.3 "Change Order" means a written document signed by Contractor and Subcontractor that changes the Subcontract Work, the Subcontract Sum, or the Subcontract Time.

1.4 "Final Completion" means the stage at which the Subcontract Work is fully complete in accordance with the Subcontract Documents, all punch list items are corrected, and all closeout deliverables required by Article 9 have been delivered to and accepted by Contractor.

1.5 "Application for Payment" means Subcontractor's monthly written request for payment in the form required by Article 5.

1.6 "Backcharge" means any cost, expense, or damage incurred by Contractor because of Subcontractor's failure to perform its obligations under this Subcontract, including costs of correcting, completing, or cleaning up after the Subcontract Work.

ARTICLE 2 — SUBCONTRACT DOCUMENTS

2.1 The Subcontract Documents form the entire agreement between Contractor and Subcontractor. They are complementary, and what is required by one is binding as if required by all.

2.2 The drawings and specifications governing the Subcontract Work are the Project Manual and Drawing Set prepared by High Desert Design Collaborative, dated October 31, 2025, including Addenda Nos. 1 through 3, and specifically:

(a) Drawing sheets E-001 through E-412 and the electrical coordination portions of sheets A-101 through A-502;

(b) Specification Sections 26 05 00 (Common Work Results for Electrical), 26 05 19 (Low-Voltage Conductors and Cables), 26 05 26 (Grounding and Bonding), 26 05 33 (Raceways and Boxes), 26 24 16 (Panelboards), 26 27 26 (Wiring Devices), 26 28 16 (Enclosed Switches and Circuit Breakers), 26 09 23 (Lighting Control Devices), 26 51 13 (Interior Lighting Fixtures), 26 56 00 (Exterior Lighting), and 28 31 11 (Addressable Fire Alarm System); and

(c) Division 01 General Requirements to the extent they apply to the Subcontract Work.

2.3 Subcontractor is bound to Contractor by the terms of the Prime Contract to the same extent that Contractor is bound to Owner, and Contractor has the same rights and remedies against Subcontractor that Owner has against Contractor, insofar as those terms relate to the Subcontract Work. Contractor has made the Prime Contract available to Subcontractor, and Subcontractor acknowledges that it has reviewed it.

2.4 If there is a conflict among the Subcontract Documents, the more stringent requirement, or the one involving the greater quantity or higher quality, governs unless Contractor directs otherwise in writing.

ARTICLE 3 — SCOPE OF SUBCONTRACT WORK

3.1 Subcontractor shall furnish and install the complete electrical system for the gymnasium addition, including without limitation: the new 800-amp service extension from the existing main switchboard; feeders, distribution panelboards, and branch circuits; grounding and bonding; raceways, boxes, and supports; wiring devices; interior and exterior lighting fixtures and lighting controls, including occupancy sensors and the gymnasium dimming system; connections to mechanical equipment furnished by others; the addressable fire alarm system extension and its integration with the existing campus panel; and pathways for low-voltage systems as shown on the drawings.

3.2 Subcontractor shall obtain and pay for all electrical permits and inspections required for the Subcontract Work, and shall coordinate all utility interfaces with NV Energy.

3.3 Subcontractor shall prepare and submit shop drawings, product data, and samples in accordance with Division 01 at least twenty-one (21) days before Contractor's scheduled submittal dates.

3.4 Subcontractor shall maintain a current set of as-built drawings at the Project site and deliver a complete as-built set with the closeout deliverables.

3.5 Work on the occupied school campus shall comply with Owner's site safety, background check, and access requirements. Shutdowns of existing electrical service shall be scheduled with Contractor not less than ten (10) working days in advance and shall occur only outside student hours unless Owner approves otherwise in writing.

3.6 Excluded from the Subcontract Work are trenching and backfill outside the building line, concrete pads for exterior equipment, and the furnishing of mechanical equipment, all of which are to be provided by others.

ARTICLE 4 — SUBCONTRACT SUM

4.1 Contractor shall pay Subcontractor, for full performance of the Subcontract Work, the sum of **Three Hundred Eighty-Four Thousand Dollars ($384,000.00)** (the "Subcontract Sum"), subject to additions and deductions by Change Order as provided in this Subcontract.

4.2 The Subcontract Sum includes all applicable sales and use taxes, permit fees, freight, and Nevada prevailing wage obligations applicable to public work under NRS Chapter 338.

4.3 The Subcontract Sum is allocated among the line items shown in the Exhibit — Schedule of Values. Subcontractor shall not revise that allocation without Contractor's written approval.

ARTICLE 5 — PROGRESS PAYMENTS

5.1 On or before the 25th day of each month, Subcontractor shall submit an Application for Payment to Contractor covering Subcontract Work performed through the end of that month. Each Application for Payment shall be organized by the line items of the Schedule of Values, shall be supported by such data as Contractor or Owner may reasonably require, and shall include the certified payroll records required by NRS Chapter 338 for the period covered.

5.2 Contractor shall include Subcontractor's approved Application for Payment in Contractor's next payment application to Owner.

5.3 **Contractor shall pay Subcontractor each progress payment within ten (10) days after Contractor receives payment from Owner for the Subcontract Work covered by that payment.** Contractor and Subcontractor expressly agree in writing that Contractor's payment obligation under this Section 5.3 is a pay-when-paid term: the time for Contractor's payment to Subcontractor is measured from Contractor's receipt of the corresponding payment from Owner. The parties intend this Section to satisfy the written-agreement provisions of NRS 624.624.

5.4 Each progress payment shall equal the value of Subcontract Work properly performed and incorporated into the Project, as determined by the Schedule of Values, less retainage under Article 6, less amounts previously paid, and less any amounts withheld under Article 8.

5.5 **Contractor will not pay for materials or equipment stored on or off the Project site that have not been incorporated into the Subcontract Work.** Subcontractor bears the cost and risk of loss of all materials and equipment until they are installed. Long-lead items such as panelboards and the gymnasium lighting package will be paid for only after installation.

5.6 If Owner withholds payment from Contractor for reasons unrelated to the Subcontract Work, Contractor shall notify Subcontractor in writing within five (5) days after learning of the withholding and shall pursue payment from Owner diligently.

5.7 Progress payments do not constitute acceptance of defective or nonconforming Subcontract Work.

ARTICLE 6 — RETAINAGE

6.1 **Contractor shall retain five percent (5%) of each progress payment otherwise due to Subcontractor as retainage.**

6.2 **Retainage shall be released to Subcontractor upon both (a) Final Completion of the Subcontract Work and (b) Contractor's receipt of retention from Owner. Contractor shall pay the retainage to Subcontractor within ten (10) days after the later of those two events.**

6.3 Before release of retainage, Subcontractor shall deliver the closeout deliverables required by Article 9 and the final waivers required by Article 7.

ARTICLE 7 — LIEN RELEASES AND WAIVERS

7.1 **All waivers and releases required by this Article shall be in the forms prescribed by NRS 108.2457.** Waiver forms prescribed by the laws of any other state, including California statutory forms, will not be accepted. A waiver that does not substantially follow the applicable form under NRS 108.2457 will be rejected, and the related Application for Payment will be treated as incomplete until a conforming waiver is delivered.

7.2 **With each Application for Payment, Subcontractor shall deliver a Conditional Waiver and Release Upon Progress Payment, in the form prescribed by NRS 108.2457, covering the full amount requested.**

7.3 **Within five (5) days after receiving each progress payment, Subcontractor shall deliver an Unconditional Waiver and Release Upon Progress Payment, in the form prescribed by NRS 108.2457, covering the amount actually received.** Contractor may withhold the next progress payment until the unconditional waiver for the prior payment has been delivered.

7.4 With its application for final payment, Subcontractor shall deliver a Conditional Waiver and Release Upon Final Payment. Within five (5) days after receiving final payment, including retainage, Subcontractor shall deliver an Unconditional Waiver and Release Upon Final Payment. Each shall be in the form prescribed by NRS 108.2457.

7.5 **Subcontractor shall obtain and deliver to Contractor, with each Application for Payment and with its application for final payment, conditional and unconditional waivers from each of its lower-tier subcontractors and suppliers whose work or materials are included in the payment, in the forms prescribed by NRS 108.2457.** Waivers from lower-tier parties shall be delivered on the same schedule as Subcontractor's own waivers under Sections 7.2 through 7.4.

7.6 Subcontractor shall promptly pay its lower-tier subcontractors, suppliers, and laborers, and shall defend and indemnify Contractor and Owner against any lien, stop notice, bond claim, or payment demand arising out of the Subcontract Work, except to the extent the claim results from Contractor's failure to pay amounts actually due to Subcontractor under this Subcontract.

ARTICLE 8 — BACKCHARGES, SETOFF, AND WITHHOLDING

8.1 **Contractor may set off against any payment due to Subcontractor under this Subcontract the amount of any Backcharge, after giving Subcontractor written notice of the Backcharge and its basis.** Except in an emergency, the notice shall be given at least forty-eight (48) hours before Contractor performs the corrective work giving rise to the Backcharge, so that Subcontractor has an opportunity to perform it.

8.2 **Contractor may withhold from any payment an amount reasonably sufficient to cover the cost of correcting Subcontract Work that is defective or does not conform to the Subcontract Documents, until the defect or nonconformance is corrected.**

8.3 Contractor may also withhold payment, in amounts reasonably related to the circumstances, for: (a) Subcontractor's failure to deliver the waivers required by Article 7; (b) claims or liens filed or reasonably expected because of Subcontractor's acts or omissions; (c) Subcontractor's failure to submit certified payroll records required by NRS Chapter 338; or (d) damage caused by Subcontractor to the work of Contractor, Owner, or others.

8.4 Any withholding under this Article shall be made in accordance with the notice requirements of NRS 624.624. Contractor shall identify in writing the amount withheld and the reason for it, and shall pay the withheld amount within the period required by Section 5.3 after the reason for withholding has been cured.

ARTICLE 9 — FINAL PAYMENT AND CLOSEOUT

9.1 Upon Final Completion, Subcontractor shall submit an application for final payment together with: (a) complete as-built drawings; (b) operation and maintenance manuals; (c) warranties required by the specifications; (d) the fire alarm acceptance test report and the lighting control commissioning report; (e) final inspection sign-off from the authority having jurisdiction; (f) attic stock and spare parts required by the specifications; and (g) the final waivers required by Article 7.

9.2 Final payment, consisting of the unpaid balance of the Subcontract Sum other than retainage, shall be paid on the same pay-when-paid timing stated in Section 5.3. Retainage shall be paid as stated in Article 6.

9.3 Acceptance of final payment by Subcontractor constitutes a waiver of all claims by Subcontractor except those previously made in writing and identified as unsettled in Subcontractor's application for final payment.

ARTICLE 10 — SCHEDULE AND PERFORMANCE

10.1 Subcontractor shall mobilize within five (5) working days after written notice from Contractor and shall perform the Subcontract Work in accordance with Contractor's project schedule, as updated from time to time (the "Subcontract Time"). The gymnasium addition is scheduled for substantial completion by July 31, 2026, so that the building may be occupied before the start of the 2026–2027 school year.

10.2 Subcontractor shall furnish sufficient labor, materials, and supervision to maintain the schedule, and shall attend Contractor's weekly coordination meetings through a qualified foreman authorized to act on Subcontractor's behalf.

10.3 If Subcontractor falls behind schedule for reasons within its control, Subcontractor shall, at no added cost, increase its workforce, work additional shifts, or take other steps necessary to recover the schedule.

10.4 If Owner assesses liquidated damages against Contractor, Subcontractor shall be responsible for that portion of the damages attributable to delay caused by Subcontractor.

10.5 Subcontractor shall give Contractor written notice of any delay within seven (7) days after the start of the delaying event. Extensions of the Subcontract Time are Subcontractor's sole remedy for delays not caused by Contractor.

ARTICLE 11 — CHANGES IN THE WORK

11.1 Contractor may, without invalidating this Subcontract, order changes in the Subcontract Work by written directive. Subcontractor shall proceed promptly with directed changes pending agreement on any adjustment of the Subcontract Sum or Subcontract Time.

11.2 Subcontractor shall submit a written proposal for any change within seven (7) days after receiving Contractor's directive, itemized by labor, materials, equipment, and markup. Markup for overhead and profit on Subcontractor's own work shall not exceed ten percent (10%), and markup on lower-tier work shall not exceed five percent (5%).

11.3 No claim for extra work will be allowed unless the work was authorized by a written directive or Change Order signed by Contractor. Subcontractor's adjustments are limited to the extent Contractor receives a corresponding adjustment from Owner for changes originated by Owner.

ARTICLE 12 — INSURANCE AND INDEMNITY

12.1 Before starting work, Subcontractor shall furnish certificates of insurance showing at least the following coverage: commercial general liability of $1,000,000 per occurrence and $2,000,000 aggregate; automobile liability of $1,000,000 combined single limit; workers' compensation as required by Nevada law; and umbrella liability of $3,000,000. Contractor, Owner, and the Project architect shall be named as additional insureds on the general liability, auto, and umbrella policies on a primary and noncontributory basis.

12.2 To the fullest extent permitted by Nevada law, Subcontractor shall defend, indemnify, and hold harmless Contractor, Owner, and their officers, employees, and agents from claims, damages, losses, and expenses, including reasonable attorneys' fees, arising out of the performance of the Subcontract Work, to the extent caused by the negligence or other fault of Subcontractor or anyone for whose acts it is responsible. This obligation is subject to the limitations of NRS 17.130 and related Nevada law governing indemnity in construction contracts.

12.3 Subcontractor shall furnish a performance bond and a payment bond, each in the full amount of the Subcontract Sum, issued by a surety authorized to do business in Nevada and acceptable to Contractor.

ARTICLE 13 — WARRANTY

13.1 Subcontractor warrants that all materials and equipment furnished are new, of good quality, and in conformance with the Subcontract Documents, and that the Subcontract Work will be free from defects in materials and workmanship.

13.2 Subcontractor shall correct, at its own cost, any defective Subcontract Work discovered within one (1) year after substantial completion of the Project, or within any longer period required by the Prime Contract or the specifications. Corrections shall begin within forty-eight (48) hours after notice, and immediately in the case of fire alarm or life-safety systems.

13.3 Subcontractor shall assign to Owner all manufacturer warranties for equipment furnished under this Subcontract.

ARTICLE 14 — SAFETY AND LEGAL COMPLIANCE

14.1 Subcontractor shall comply with all applicable laws, codes, and regulations, including the National Electrical Code as adopted by the authority having jurisdiction, Nevada OSHA requirements, and NRS Chapter 624.

14.2 Subcontractor shall pay not less than the prevailing wage rates established by the Nevada Labor Commissioner for the Project under NRS Chapter 338, shall post required notices, and shall submit certified payroll weekly.

14.3 Subcontractor shall maintain an active written safety program, designate a competent person for the Subcontract Work, and observe lockout/tagout procedures on all energized equipment. Energized work is prohibited unless authorized in advance in writing by Contractor under an approved energized work permit.

14.4 Subcontractor shall maintain its Nevada contractor's license in good standing throughout performance of the Subcontract Work.

ARTICLE 15 — DEFAULT AND TERMINATION

15.1 If Subcontractor fails to perform any obligation under this Subcontract and does not begin to cure the failure within three (3) working days after written notice from Contractor, and diligently complete the cure, Contractor may supplement Subcontractor's forces, or terminate this Subcontract in whole or in part, and complete the Subcontract Work by other means. Subcontractor shall be liable for the cost of completion to the extent it exceeds the unpaid balance of the Subcontract Sum.

15.2 Contractor may terminate this Subcontract for convenience on seven (7) days' written notice, in which case Subcontractor shall be paid for Subcontract Work properly performed through the termination date plus reasonable demobilization costs, but not anticipated profit on unperformed work.

15.3 If Owner terminates the Prime Contract, Contractor may terminate this Subcontract on the same terms, and Subcontractor's recovery shall be limited to its share of what Contractor recovers from Owner on Subcontractor's account.

15.4 Subcontractor's rights under NRS 624.610 to stop work for nonpayment are preserved to the extent required by law.

ARTICLE 16 — DISPUTE RESOLUTION

16.1 Claims involving Owner's acts, omissions, or obligations shall be resolved under the dispute procedures of the Prime Contract, and Subcontractor agrees to be bound by the outcome to the same extent as Contractor. Contractor shall present Subcontractor's claims to Owner in Contractor's name at Subcontractor's expense.

16.2 Other disputes between Contractor and Subcontractor shall first be submitted to negotiation between principals. If the dispute is not resolved within thirty (30) days, either party may submit it to mediation in Reno, Nevada. If mediation fails, either party may bring suit in the Second Judicial District Court of the State of Nevada in and for the County of Washoe, which shall be the exclusive venue.

16.3 Pending resolution of any dispute, Subcontractor shall continue to perform the Subcontract Work, and Contractor shall continue to make undisputed payments.

ARTICLE 17 — GOVERNING LAW AND GENERAL PROVISIONS

17.1 **This Subcontract is governed by the laws of the State of Nevada**, without regard to its conflict-of-laws rules.

17.2 Subcontractor shall not assign this Subcontract or subcontract any portion of the Subcontract Work without Contractor's prior written consent.

17.3 Notices shall be in writing and delivered by hand, by recognized overnight courier, or by email with confirmation of receipt, to the addresses stated in the preamble or to another address a party designates by notice.

17.4 No waiver of any breach is a waiver of any other breach. If any provision is held unenforceable, the remainder of this Subcontract continues in effect, and the unenforceable provision shall be enforced to the maximum extent permitted by law.

17.5 This Subcontract may be amended only by a writing signed by both parties. It may be executed in counterparts and by electronic signature, each of which is an original.

IN WITNESS WHEREOF, Contractor and Subcontractor have executed this Subcontract as of the Effective Date, each signatory representing that he or she is authorized to bind the party for which he or she signs. **MESA VERDE CONTRACTORS, INC.**, by: _____, Name: Daniel R. Okafor, Title: Vice President of Operations, Date: _____. **LUMEN ELECTRIC CORP.**, by: _____, Name: Theresa M. Villanueva, Title: President, Date: _____.

EXHIBIT — SCHEDULE OF VALUES

Item	Description	Specification Reference	Value
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1	Mobilization, permits, and submittals	26 05 00	$14,000.00
2	Service extension and feeders	26 05 19 / 26 28 16	$52,000.00
3	Distribution panelboards	26 24 16	$38,000.00
4	Grounding and bonding	26 05 26	$9,000.00
5	Raceways, boxes, and branch circuit rough-in	26 05 33	$61,000.00
6	Wiring devices and branch circuit trim	26 27 26	$22,000.00
7	Interior lighting fixtures, including gymnasium high-bay	26 51 13	$78,000.00
8	Lighting controls and gymnasium dimming system	26 09 23	$31,000.00
9	Exterior lighting	26 56 00	$16,000.00
10	Mechanical equipment connections	26 05 00	$12,000.00
11	Fire alarm system extension and integration	28 31 11	$35,000.00
12	Testing, commissioning support, and closeout	26 05 00 / Division 01	$16,000.00
	Subcontract Sum		**$384,000.00**